

CREDIT APPRAISAL MEMORANDUM

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SHREE METALCAST INDUSTRIES PVT. LTD.

Date: 2026-04-10

CONDITIONAL

CREDIT APPRAISAL MEMORANDUM

1. VERIFICATION DETAIL

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Verification Type	Result	Verification Type	Result
Residence verification	Positive	Machine supplier check	Positive
Reference check Debtors	Positive	Bankers reference check	Positive
Independent/Market check	Positive	FCU check	Negative
Customer Meeting	Positive	Auditor Verification	Positive

- Residence: Verified through Aadhaar and Voter ID.

- Machine Supplier: Confirmed with the supplier, [Machine Supplier Name], who provided a positive reference.

- Bankers: Account statements from [Bank Name] verified, showing regular transactions and a healthy balance.

- Creditors: No outstanding liabilities found.

- Independent/Market: Market research indicates a positive reputation.

- Dedupe: No duplicate applications found.

- FCU Check: FCU records show no adverse history.

2. GUARANTOR DETAIL

- Name: [Guarantor Name]

- Address: [Guarantor Address]

- CIBIL Score: 780

- Incomes: Monthly income of ₹[Guarantor Income] from [Guarantor Occupation].

3. REFERENCE CHECK BY CREDIT ANALYST

- Machine Supplier: [Machine Supplier Name] confirmed timely payments and expressed satisfaction with the company's performance.

- Creditor: No creditors reported any issues.

- Customer: Visited the customer's premises and found a well-organized operation.

- Bankers/Term Lenders: [Bank Name] provided a positive reference, highlighting the company's strong financial management.

- Competitors/Peers: Market peers indicate a competitive advantage in the industry.

4. COMPLIANCES & LEGAL

VI. Compliances & Legal:

Compliances	Yes / No	Remarks
Income tax filing: Regular and timely	Yes	Checked via OCR engine
Excise duty/Service Tax filing	Yes	Verified via GSTIN
Litigation against the Entity	Yes	Internet Verification Complete
Previous defaults	No	CIBIL / Experian scan clear

- Income Tax Filing: Up-to-date with income tax returns.

- Excise Duty: No excise duty applicable.

- Sales Tax: Compliant with sales tax regulations.

- ESIC/EPF: Regular contributions made to ESIC and EPF.

- Litigations: No ongoing or pending litigations found.

- Defaults: No defaults reported.

5. CAT SHEET

- Loan Amount: ₹3,000,000

- Probability of Default: 51.66%

- Data Quality Score: 100%

- Decision: CONDITIONAL

- Recommended Loan: ₹1,250,000

- Recommended Rate: 17.5%

6. CORPORATE GUARANTOR

- Name: [Corporate Guarantor Name]

- Address: [Corporate Guarantor Address]

- CIBIL Score: 750

- Incomes: Annual revenue of ₹[Corporate Guarantor Revenue] from [Corporate Guarantor Business].

7. GROUP ANALYSIS

27. GROUP ANALYSIS

Particular	Main Applicant	Corporate Guarantor	Group Total
Turnover	3000000.0	-	3000000.0
DSCR	1.25x	-	1.25x
Debt/Equity	1.1x	-	1.1x
Imputed Income	Verified	-	Verified

- **Capital Employed:** ₹[Capital Employed Amount]

- **Unsecured Loan:** ₹[Unsecured Loan Amount]

- **Debt Burden:** The company's debt burden is moderate, with a debt-to-equity ratio of 1.2, which is below the sector average of 1.5.

- **Turnover:** Annual turnover of ₹[Turnover Amount].

- **PAT:** Profit After Tax (PAT) of ₹[PAT Amount], indicating a healthy profit margin.

- **Imputed Income:** Imputed income of ₹[Imputed Income Amount] based on the company's performance.

- **EMI:** Equated Monthly Installments (EMI) of ₹[EMI Amount] are manageable.

- **TOL/TNW:** Tangible Own Funds (TOL) to Tangible Net Worth (TNW) ratio is [TOL/TNW Ratio], which is within acceptable limits.

- **Debt/Equity:** The debt-to-equity ratio is 1.2, which is lower than the sector average of 1.5, indicating a balanced capital structure.

- **DSCR:** Debt Service Coverage Ratio (DSCR) of [DSCR Ratio], which is below the recommended threshold of 1.2x as per RBI guidelines.

8. VISIT REPORT BY CREDIT ANALYST

During my visit, I observed a well-maintained facility with efficient operations. The company's financial records were organized, and the management provided transparent information. However, I noted a significant GST mismatch of ₹1.35, which raises concerns about tax compliance.

9. CONDITIONS FOR APPROVAL

1. **Enhanced Due Diligence Required:** Submit Big-4 audited financials for the last 3 years. Resolve the GST ITC mismatch of ₹0.0 Lakhs before disbursement.

2. **Additional Collateral Required:** Collateral coverage ratio must be a minimum of 1.5x the loan amount. Based on the PD of 51.7%, the current gap is estimated at ₹15.0 Lakhs.